

RESTATED AND AMENDED
MASTER DECLARATION
OF
COVENANTS, CONDITIONS, RESTRICTIONS
AND RESERVATIONS FOR

HOMESTEAD PLACE

This Restated and Amended Master Declaration of Covenants, Conditions, Restrictions and Reservations for HOMESTEAD PLACE, a Planned Residential Development, situate in the City of BURLINGTON, SKAGIT COUNTY, Washington, (hereinafter referred to as the "Declaration") is made this 9th day of December, 2004, by HOMESTEAD NW DEV. CO., a Washington business corporation; which declares that the real property hereinafter described is and shall be subject to these covenants, conditions, restrictions and reservations, licenses, easements, charges and liens hereinafter set forth which are established for purpose of protecting the value and desirability of the real property. This Declaration is amended and restated and replaces the Original DECLARATION AND COVENANTS, CONDITIONS, RESTRICTIONS AND RESERVATIONS for HOMESTEAD PLACE filed on December 1, 2004, under Skagit County Auditor's File No. 200412010052.

ARTICLE I
Interpretation

1.1 Liberal Construction. The provisions of this Declaration shall be liberally construed to effectuate its purpose of creating a planned development on the property hereinafter described.

1.2 Covenant Running with the Land. It is intended that this Declaration shall be operative as a set of covenants running with the land or equitable servitudes which shall be binding on the Declarant, its successors and assigns, and all subsequent owners of the property together with their grantees, heirs, successors, executors, administrators, devisees or assigns all in the manner hereinafter set forth.

1.3 Definitions.

1.3.1 "Declarant". The Declarant is HOMESTEAD NW DEV. CO., a Washington business corporation, which currently has its principal office at 506 W. Grover Street, Lynden, WA 98264.

1.3.2 "Association". The Association shall mean and refer to the HOMESTEAD PLACE OWNERS ASSOCIATION, its successors and assigns. The Association is not a Condominium Association.

1.3.3 "Property" shall mean the real property described on Exhibit A which is annexed hereto and by this reference incorporated herein together with such additions thereto as may hereafter be brought within the jurisdiction of this Declaration.

1.3.4 "Lot" shall mean and refer to any numerically designated plot of land shown on any present or future subdivision map of the property.

1.3.5 "Parcel" shall mean a record Lot within the Property.

1.3.6 "Owner" shall mean and refer to the record Owner whether one or more persons or entities of fee simple title to any Lot which is a part of the Property including a contract buyer but excluding those having an interest merely as security for the performance of an obligation. Each Owner shall continuously provide the Association with a current mailing address.

1.3.7 "Board" shall mean the Board of Directors of the HOMESTEAD PLACE OWNERS ASSOCIATION.

1.3.8 "Common Area" shall mean all property described on Exhibit A other than platted lots and portions dedicated to the City of BURLINGTON for road purposes.

ARTICLE II

Property

2.1 Property. Property which is currently subject to this Declaration is more fully described on Exhibit A which is annexed hereto and by this reference incorporated herein.

ARTICLE III

Owners Association

3.1 Established. There is hereby established an Owners Association to be known as the HOMESTEAD PLACE OWNERS ASSOCIATION.

3.2 Membership. Every person or entity who is a record owner of a fee or undivided fee interest in any Lot in HOMESTEAD PLACE shall be, by virtue of such ownership, a member in the HOMESTEAD PLACE OWNERS ASSOCIATION. The foregoing is not intended to include persons or entities holding an interest merely as security for the



performance of an obligation. No Owner shall have more than one membership except that he own more than one parcel in which case he shall have one membership for each parcel owned. Membership shall be appurtenant to and may not be separated from ownership of any parcel. Ownership of such a Lot shall be the sole qualification for membership.

3.3 Declarant Management. Initial management of the Association shall be by the Declarant, provided that the Declarant shall be required to transfer control of the Owners Association to the Owners not later than sixty (60) days after closing of the last lot sale to an Owner in HOMESTEAD PLACE.

3.4 Power to Manage and Assess After Transfer to Association. In the event that the Declarant, its successors or assigns exercise their right and power to transfer control to the Association in accordance with the provisions hereof, the Association shall thereafter manage the affairs of the planned residential development.

3.4.1 Form of Association. In the event of transfer to the Association the Declarant shall notify all Members of a Special Meeting of the Association membership to be held within thirty (30) days of the transfer date. The agenda at the Special Meeting will include, at a minimum, the following issues:

(a) Whether the form of the Association be changed from an unincorporated association to a non-profit corporation.

(b) Election of the initial Board of Directors with a minimum number of three (3) members or more. If there is a three-member Board, one member shall be elected for a one-year term, one member for a two-year term and one member for a three-year term.

3.4.2 Voting.

3.4.2.1 Voting Owner There shall be one (1) voting representative for each parcel. Declarant shall be considered an "Owner" as that term is used herein, and shall be the voting representative, with respect to any parcel owned by the Declarant. If a person (including the Declarant) owns more than one parcel, he shall have the votes for each parcel owned. The voting representative shall be designated by the Owner or Owners of each parcel by written notice to the Board, and need not be an Owner. The designation shall be revocable at any time by actual notice to the Board from a party having an ownership interest in a parcel or by actual notice to the Board of the death or judicially declared incompetence of any party with an ownership interest in the parcel. This power of designation and revocation may be exercised by the guardian of a Parcel Owner, and the administrators or executors of an Owner's estate.



3.4.2.2 Joint Owner Disputes. The vote for a lot must be cast as a single vote, and fractional votes shall not be allowed. In the event that joining Lot Owners are unable to agree among themselves as to how their vote or votes shall be cast, they shall lose their right to vote on the matter in question. In the event more than one (1) vote is cast for a particular lot, none of said votes shall be counted and the votes shall be deemed void.

3.4.2.3 Quorum. Twenty-Five (25%) percent of all Lot Owners or more, shall constitute a quorum at any meeting of the Association. This shall be a requirement for conducting any Association business.

3.4.3 Meetings and Notices of Meetings.

3.4.3.1 Annual Meetings. After the period of declarant control of the Association ends, there shall be an annual meeting of the Parcel Owners in the first quarter of each calendar year at such reasonable place and time as may be designated by written notice of the Board delivered to the Parcel Owners not less than ten (10) days and no more than sixty (60) days prior to the date fixed for the meeting. At the annual meeting there shall be presented a review of the financial records if any of the Association for the previous year itemizing receipts and disbursements and the allocation thereof to each Parcel Owner and the estimated expenses for the coming year. The Board at any time, or by written request of the Parcel Owners having at least twenty (20%) percent of the total votes, may require that an audit of the Association and management books and records be presented at any Special or Annual Meeting. A Parcel Owner at his own expense may at any reasonable time make an audit of the books or records of the Board and/or the Association.

3.4.3.2 Special Meetings. Special Meetings of the Association may be called at any time for any reasonable purpose. Such meetings shall be called by written notice of the president of the Association upon the decision of the president, or after request signed by a majority of the Board, or by written request by the Parcel Owners having at least twenty (20%) percent of the total votes which notice shall be delivered not less than ten (10) days and not more than sixty (60) days prior to the date fixed for the meeting. The notice shall specify the date, time and place of the meeting and in general the matters to be considered.

3.4.4 Articles and Bylaws. The Association shall have power to adopt Articles of Incorporation, Bylaws and rules and regulations for operation of the Association not inconsistent with this Declaration. Upon concurrence of those Parcel Owners holding sixty (60%) percent of the voting power of the Association at a regular or special meeting, amendments to the Articles, Bylaws and/or Rules and Regulations may be adopted by the



same vote at a regular or special meeting similarly called. The Declarant may adopt initial Articles and Bylaws.

3.4.5. Management by the Board. At the expiration of the Declarant's management authority, administrative power and authority with respect to Association affairs shall vest in its Board of Directors. The Board of Directors shall be elected in the manner set forth hereinabove and after election the Board shall itself elect a president from among its members who shall preside over meetings of the Board and the meetings of the Association. A treasurer and secretary shall also be elected by the Board from among its members.

3.4.6 Authority of the Board. The Board shall have authority to manage the affairs of the Association and shall have all powers and authority permitted under this Declaration and under any Articles, Bylaws, rules and regulations as may be later adopted by the Association.

3.5 Not a Condominium Association. HOMESTEAD PLACE OWNERS ASSOCIATION is not and shall not be a condominium association.

150 3.6 Dues. Each Lot shall be subject to annual dues. The rate for dues is initially set at ~~\$50.00~~ per year. The rate of dues shall be modified by majority vote of all lot owners present at a duly held meeting of the Association where a quorum is present. Notice of dues rate applicable for each calendar year shall be delivered to all lot owners at their recorded address with the Association not later than December 31 of the previous year unless the dues rate is to remain unchanged from the previous year, in which case no notice shall be required. In addition the Association may levy supplemental or special assessments upon all lot owners but only by affirmative vote of sixty (60%) per cent of all lot owners present at a duly held meeting of the Association where a quorum is present. The purpose of the dues shall be to provide for maintenance of the common areas as identified on the Plat of HOMESTEAD PLACE, including play areas, landscape, trees and vegetation, and detention ponds and storm drainage channels located within the common area. The Declarant shall not be required to pay dues for lots without units on them or for lots where units have not been approved for occupancy.

3.7 Stormwater Facility Maintenance Plan. The following are the minimum standards for the maintenance of the stormwater facility:

3.7.1. The facility shall be inspected a minimum of once per year during the month of September, in addition to an inspection after each heavy rainstorm event.

3.7.2. The inspections shall include an inspection of the grassy swales, and other bio-filters, catch basins and manholes, an inspection for rodent holes and an assessment

of the structural integrity of the facility. In addition: the annual inspection shall note the amount of accumulated sediment in the facility.

3.7.3 Debris and garbage shall be removed from the facility at a regular interval of no less than once per month.

3.7.4 Vegetation, including grass, shall be cut to the height of not less than 4 – 5 inches. Vegetation shall be maintained and replaced to ensure continuous cover.

3.7.5 Accumulated sediment of more than 10% of the designed pond depth shall be removed.

3.7.6 Disposal of waste from maintenance activities shall be done in accordance with general accepted standards for the type of waste requiring removal.

3.7.7 Maintenance shall include replacement of missing rock in the spillway and culvert inlet and outlets, repair of any defect in the fence that permits easy entrance to the facility.

3.7.8 The access to the facility shall be kept free of obstruction.

3.7.9 Following each inspection or maintenance activity, with the exception of mowing activity and garbage removal, records shall be completed noting the inspection results and detailing the activity taken. Inspections shall be recorded on a Stormwater Facility Inspection Form such as the form attached as Exhibit B.

3.7.10 The Association Board shall appoint and confirm on an annual basis the person responsible for the maintenance provisions and record maintenance of the facility.

3.7.11 The records maintained in accordance with these provisions shall be made available to City of Burlington upon request.

3.7.12 Trees and vegetation that interfere with access, function or maintenance of pond and water quality system shall be removed.

ARTICLE IV *Design Review Board*

4.1 Establishment. A Design Review Board is hereby established for HOMESTEAD PLACE. The purpose of the Design Review Board is to review all building and landscape plans prior to commencement of construction on any Lot in HOMESTEAD PLACE. The Design Review Board shall be primarily interested in



architecturally sound, harmonious and aesthetically pleasing design for the development so that property values may be promoted and protected.

4.2 Members. The initial members of the Design Review Board are Seth Allen, Doug Ellis and Lisa Guthrie. In the event of the resignation of any of these members the Declarant shall have the right to appoint a replacement so that two members are on the Design Review Board at all times. In the event that the Declarant relinquishes control to the Association then the Association shall have the right to appoint the membership of the Design Review Board. The Design Review Board may be increased to five members in the discretion of the Declarant and after transfer to the Association, then in the discretion of the Board.

4.3 General Duties. To preserve the architectural and aesthetic appearance of the development to very high standard, no buildings shall be erected or remodeled on any parcel nor shall any landscape be installed on any parcel until the construction plans and specifications and the structure's location on the parcel and any landscape plans have been evaluated and approved by the Design Review Board which shall evaluate the plans. Modifications of exterior structure including but not limited to doors, window and siding, exterior paint, porches, railings, sidewalk and landscape shall require approval of the Design Review Board prior to any such changes being made. Any plans submitted to the Design Review Board shall be accompanied by payment of a \$25.00 review fee. The plans will be evaluated for quality of specified workmanship and materials, harmony of design with existing and anticipated structures and appropriate placement with regard to topography and finished grade elevation. No ancillary structure, fence or barrier shall be built on any parcel unless similarly approved. If the Design Review Board does not approve or disapprove in writing of any proposed plans and specifications within thirty (30) days after such plans and specifications have been submitted, such plans and specifications will be deemed to have been expressly approved. Refusal to approve any plans or specifications may be based by the Design Review Board upon any grounds which are consistent with the purposes stated hereinabove including truly aesthetic considerations so long as such grounds are not arbitrary or capricious.

4.4 Restrictions and Guidelines. In making their evaluation the Design Review Board shall have regard for the general restrictions set forth in Article V hereinafter. The Declarant may apply additional specific restrictions as to certain areas within HOMESTEAD PLACE by a separate filing. If there is such a filing then those guidelines along with those set forth herein shall guide the Design Review Board in making their determinations.



ARTICLE V
General Restrictions and Requirements

5.1 General Restrictions and Requirements. The following general restrictions and requirements shall apply to any parcel in HOMESTEAD PLACE:

5.1.1 Residential Use. HOMESTEAD PLACE is a planned residential development generally intended for residential use. Parcel Owners acquiring parcels in HOMESTEAD PLACE acknowledge the intention of the Declarant to develop a project of single-family lots and duplex residences. Parcel Owners acquiring a parcel in HOMESTEAD PLACE agree not to later object to the plan of development of the Declarant with respect to the property.

5.1.2 No Temporary Buildings. No tents, trailers, commercial vans, shacks, tanks or temporary or accessory buildings or structures shall be erected or permitted to remain on any parcel without the written consent of the Design Review Board. The Declarant reserves the right to maintain one or more temporary or construction trailer or offices on the premises until all lots are sold.

5.1.3 Antennae; Basketball Hoops. No Property Owner other than the Declarant or the Association shall maintain any aerial, antenna or any satellite dish upon any parcel except the smaller type not to exceed 20" in diameter and then only in a place approved by the Design Review Board. Basketball hoops are prohibited unless installed by the Declarant or the Association.

5.1.4 Rules Regarding Vehicles, Boats and Recreational Vehicles on Lots. No inoperative vehicles, boats or recreational vehicles may be kept on any parcel except within a building totally isolated from public view provided that operational boats and recreational vehicles may be kept in driveways for not more than three (3) consecutive days (after which a minimum break of seven (7) days shall be required). Inoperative, unsightly or improperly licensed vehicles, boats or recreational vehicles shall not be kept on a parcel except within a building totally isolated from public view. Residents are to use their driveways and garages for primary parking of their vehicles. Any vehicles maintained on a parcel or on a public street in front of a parcel in violation of these rules shall be removed in the discretion of the Declarant or the Association at the Owner's expense, and failure of the Owner to pay may be enforced by lien or lawsuit as provided for herein.

5.1.5 Signs. No sign of any kind shall be displayed to the public view on any parcel provided that the Declarant, and if the Declarant transfers control to the Association, then the Board may by appropriate rule permit temporary placement of a sign at the designated place indicating that a parcel is for sale or lease. Further, provided



that this section shall not apply to the Declarant or the Declarant's agent in exercising their rights of initial sale with respect to the properties.

5.1.6 Pets. All animals, which term includes livestock, domestic animals, poultry, reptiles or living creatures of any kind, shall be raised, bred or kept in strict compliance with the laws and ordinances of the City of BURLINGTON. All dogs or other animals outside building shall be kept on a leash under direct personal control of the Parcel Owner or occupant at all times. Owners shall be responsible to prevent excessive dog barking on their lot.

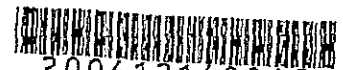
5.1.7 Obnoxious or Offensive Activity. No obnoxious or offensive activity shall be carried on on any parcel nor shall anything be done thereon which may be or become an annoyance or nuisance to other Owners and their guests.

5.1.8 Artificial Vegetation. No artificial grasses, plants or other artificial vegetation shall be placed or maintained on the exterior portion of any parcel unless approved by the Design Review Board.

5.1.9 Fences. Fences other than those installed by the Declarant are permitted in rear yards only from the middle side of the home back. Size, type, color and location of fences shall be subject to Design Review Board approval.

5.1.10 Miscellaneous. No weeds, underbrush or other unsightly growth shall be permitted to grow or remain upon any parcel and no refuse pile or unsightly object shall be allowed to be placed or suffered to remain thereon. In the event that any Lot Owner shall refuse to keep his parcel free of weeds, underbrush or refuse piles or in the event that he allows grasses and other vegetation to grow on the lot to a length of greater than six (6) inches, then the Declarant and/or the Association may enter the parcel (and shall have an easement to enter) and bring it to compliance with the provisions of this section. The Lot Owner shall be charged a reasonable cost for this service and if the Lot Owner shall refuse to pay then it may be enforced by lien and/or lawsuit as provided for hereafter.

5.1.11 Development Contract Controlling. All development within HOMESTEAD PLACE shall be consistent with Declarant's Development Contract and agreements with the City of BURLINGTON, and any amendments thereto. In the event of any inconsistencies between the Development Contract and the Covenants, Articles of Incorporation (if any) or Bylaws of the Association, the terms of the Development Contract and agreements with the City of BURLINGTON.



5.1.12 Maintenance of Play Areas and Entry Signage. The site common areas, including play areas within Tract A and any entry signage and any vegetation within shall be maintained, repaired or replaced by the Association.

ARTICLE VI *General Provisions*

6.1 Easements Reserved. The Declarant reserves for itself, its heirs, successors and assigns perpetual non-exclusive easements which shall be covenants running with the land as follows:

6.1.1 An easement over and under every private roadway and driveway and fifteen (15) feet in width on each and every parcel and lot adjoining all roadways for purposes of installing, maintaining and improving utility services. Said utilities shall include without limitation, telephone, electrical power, natural gas, television cable, storm drainage systems, sanitary sewer systems and water lines.

6.1.2 An easement to install, maintain and improve signage for the HOMESTEAD PLACE Planned Residential Development within the exterior seven (7) feet of each and every lot, said signage not to interfere with entry driveways.

6.1.3 An easement to enter each and every parcel within the HOMESTEAD PLACE Planned Residential Development for the purposes of maintaining private roads, berms, landscaping and fencing installed by the Declarant, to remove unauthorized vehicles and to exercise all other rights and powers provided for herein.

6.2 Easements Granted. Declarant grants the following perpetual non-exclusive easements which shall be covenants running with the land:

6.2.1 City Utility Easement. An easement or easements to the City of BURLINGTON to permit access for the purposes of maintaining and servicing the City utility lines and police, fire and emergency vehicles within open space areas, private roadways and upon all lots as described on the face of HOMESTEAD PLACE Plat. In the event that a water or sewer main that crosses a private street, open space or green belt must be serviced or repaired or replaced, it is understood that the City will complete the repairs and replacement and backfill the area with the appropriate materials and will attempt to restore the affected area to its original condition, provided however that the City will not be responsible for removing or replacing any structures or trees placed in such an area.



6.3 Amendments.

6.3.1 Amendments by the Declarant. So long as the Declarant retains control of the Association, the Declarant specifically reserves for itself, its successors and assigns the absolute, unconditional right to alter, modify, change, revoke, rescind or cancel any and all of the restrictive covenants contained in this Declaration or hereinafter included in any subsequent Declaration, provided that nothing herein shall prejudice or otherwise impair the security of any mortgagee of record as to any lot or parcel. Within forty-five (45) days after any such change in the Declaration, the Declarant shall provide written notice of the change to Lot Owners.

6.3.2 Amendments by the Association. In the event that and after the Declarant relinquishes control to the Association then this Declaration may be amended at any time upon the affirmative vote in favor of the amendment of three-fourths (3/4) of the members of the Association present at a duly held meeting of the Association where a quorum is present.

6.4 Remedies for Violation Enforcement. Violation for breach of any condition, covenant or restriction herein contained shall give the Declarant and/or the Association and/or the Lot Owners in addition to all other remedies, the right to lien a lot for monies owed by the Owners of that lot and, the right to proceed at law or in equity to compel compliance with the terms of this Master Declaration of Conditions, Covenants, Restrictions and Reservations and prevent the violation or breach of any of them and the expense of any such litigation shall be borne by the then Owner of the subject lot provided that such proceedings results in findings that such Lot Owner was in violation of the covenants, conditions, reservations and restrictions herein. Expenses of litigation shall include reasonable attorney's fees incurred by the prevailing party in seeking such enforcement. Failure by the Declarant, the Association or any Lot Owner to enforce any covenant, conditions or restrictions herein contained for any period of time shall in no event be deemed a waiver or estoppel of the right to enforce the same thereafter. Jurisdiction with regard to any such action shall be with the Superior Court of the State of Washington for SKAGIT COUNTY.

6.5 Notices. Any notices required to be sent to any Parcel Owner or to the Declarant and/or the Association under the provisions of this Declaration shall be deemed to have been properly sent when mailed postage prepaid to the last known address of the Parcel Owner on the records of the Declarant and/or the Association at the time of mailing.

6.6 Severability. Invalidation of all or any part of one of these covenants and restrictions by a judgment or court order shall in no way affect the remainder of any such provisions or any other provisions which shall remain in full force and effect.

6.7 Usage. Whenever used, the singular shall include the plural and the plural the singular, and the use of any gender shall include all genders for interpretation. The Declarant shall have the right except as limited by any of the provisions of this Declaration to determine all questions arising in connection with this Declaration and to construe and interpret its provisions and its good faith determination, construction or interpretation shall be final and binding. In all cases provisions of this Declaration shall be given that interpretation or construction that will best tend toward the consummation of the general plan of the Homestead NW Dev. Co. development.

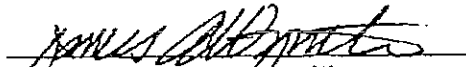
6.7 Effective Date. This Declaration supercedes any previously filed Declaration with respect to the property. This Declaration shall become effective upon its recordation in the public records of SKAGIT COUNTY, Washington.

IN WITNESS WHEREOF, the undersigned has executed this Declaration at BURLINGTON, Washington, this 9th day of December, 2004.

DECLARANT:

HOMESTEAD NW DEV. CO.

By:


James A. Wynstra, President

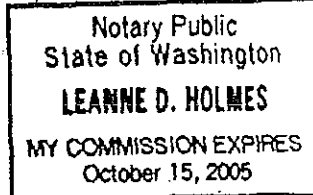
STATE OF WASHINGTON)

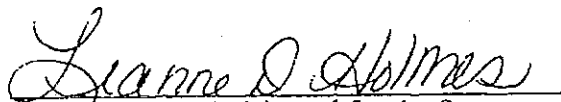
) ss.

COUNTY OF WHATCOM)

On this 9th day of December, 2004, before me, the undersigned, a Notary Public in and for the State of Washington, duly commissioned and sworn, personally appeared JAMES A. WYNSTRA, President of HOMESTEAD NW DEV. CO., the corporation that executed the foregoing instrument, and acknowledged the said instrument to be the free and voluntary act and deed of said corporation, for the uses and purposes therein mentioned, and on oath stated that he is authorized to execute the said instrument and that the seal affixed is the corporate seal of said corporation.

Witness my hand and official seal hereto affixed the day and year first above written.




NOTARY PUBLIC in and for the State
of Washington, residing at Lynden.

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EXHIBIT A

LEGAL DESCRIPTION

LOT 2 SHORT PLAT NO. BURL-3-99, APPROVED OCTOBER 20, 1999, AND RECORDED OCTOBER 21, 1999, UNDER SKAGIT COUNTY AUDITOR'S FILE NO. 199910210052, AND BEING A PORTION OF TRACT 63, "PLAT OF THE BURLINGTON ACREAGE PROPERTY", AS PER PLAT RECORDED IN VOLUME 1 OF PLATS, PAGE 49, RECORDS OF SKAGIT COUNTY, WASHINGTON.

SITUATE IN SKAGIT COUNTY, WASHINGTON.

THE SOUTH 1/2 OF THE EAST 1/2 OF TRACT 63, "PLAT OF BURLINGTON ACREAGE PROPERTY", AS PER PLAT RECORDED IN VOLUME 1 OF PLATS, PAGE 49, RECORDS OF SKAGIT COUNTY, WASHINGTON.

SITUATE IN SKAGIT COUNTY, WASHINGTON.

ALSO:

THE SOUTH 1/2 OF THE EAST 378 FEET OF THE WEST 1/2 OF TRACT 63, "PLAT OF THE BURLINGTON ACREAGE PROPERTY", AS PER PLAT RECORDED IN VOLUME 1 OF PLATS, RECORDS OF SKAGIT COUNTY, WASHINGTON.

SITUATE IN SKAGIT COUNTY WASHINGTON.

